SCHEDULE DBP-DA (NAVY)

DEMAND BIDDING PROGRAM, DAY AHEAD - NAVY ONLY

SPECIAL CONDITIONS (Continued)

4. Program Operation:

   a. Demand Bidding Event: The Utility will declare a Demand Bidding Event for the following day and the Utility will request bids from the customer that will cover the period of the event.

      i. The Utility will make all efforts to notify the customer of an event the day prior by 13:00. In the event of a event that occurs after 13:00 all parties will make their best effort to facilitate the bidding process.

   b. Demand Bid: A Demand Bid is the amount of MW per hour (MWh usage) that a customer commits to reduce for each hour of an Event.

      i. For each hour the customer must submit their bid for a minimum demand reduction of 2 MWh.

   c. Bid Submission: Customers will select no more than 8 meters and submit a Demand Bid within 2 hours of the notification of an event.

   d. Bid Evaluation: Unless a megawatt quantity is specified in the CAISO or utility event notification, the Utility will deem all qualified Demand Bids received by the deadline acceptable from customers.

      i. If a megawatt quantity is specified in the CAISO or Utility event notification, the Utility will evaluate the qualified bids received based on a first come, first served basis, taking bidder past performance and compliance into account, and accept or reject each bid.

   e. Bid Acceptance/Rejection Notification: Day-ahead bid solicitations can be terminated prior to Acceptance Notification, up to the deadline of 15:30 based on CAISO or Utility notification that load relief is no longer needed.

5. Program Triggers: A Demand Bidding Event shall be initiated upon notice from the CAISO of a Stage 2 or 3 emergency, a transmission or imminent system emergency, or as conditions warrant by the Utility. Whenever the California Independent System Operator has issued an alert or warning notice, the California Independent System Operator shall be entitled to request that the utility, at its discretion, call a program event pursuant to this Schedule. T

6. Program Availability: DBP- DA is available year-round. There is no limit to the number of Demand Bidding Day Ahead Events per month or per year.

(Continued)

SCHEDULE DBP-DA (NAVY)

DEMAND BIDDING PROGRAM, DAY AHEAD - NAVY ONLY

SPECIAL CONDITIONS (Continued)

7. Customer Specific Baseline:

a. Customer Specific Baseline Weekdays: For customers enrolled in the program, the preliminary baseline for any given operational hour is defined as the consumption for that hour for the average of the ten (10) similar days immediately preceding the Event. Similar days will exclude weekends, holidays, days when a customer was paid to reduce load, when load reductions were requested, was subject to a Demand Response event and days in which the customer experienced a rotating outage. T

The adjusted baseline will be calculated by multiplying the preliminary baseline by a day-of adjustment factor. The Day-Of Adjustment factor will be calculated by dividing the average load used a two hour adjustment window commencing at least 4 hours prior to the event by the average load for the same hours of the preliminary baseline. This Day-Of Adjustment factor shall not exceed 1.40 and shall be no less than 0.6. T

The customer specific baseline will be equal to the adjusted baseline unless the customer request that the preliminary baseline be used instead at the time bid is submitted. N N

b. Customer Specific Baseline Weekends: For customers enrolled in the program, the preliminary baseline for any given operational hour is defined as the consumption for that hour from the immediately preceding similar day prior to the Event. Similar days will exclude weekdays, days when a customer was paid to reduce load, when load reductions were requested, was subject to a Demand Response event and days in which the customer experienced a rotating outage.

The adjusted baseline will be calculated by multiplying the preliminary baseline by a day-of adjustment factor. The Day-Of Adjustment factor will be calculated by dividing the average load used a two hour adjustment window commencing at least 4 hours prior to the event by the average load for the same hours of the preliminary baseline. This Day-Of Adjustment factor shall not exceed 1.40 and shall be no less than 0.6. T

The customer specific baseline will be equal to the adjusted baseline unless the customer request that the preliminary baseline be used instead at the time bid is submitted. N N

c. Billable Meters Aggregation: If a customer chooses to aggregate billable meters for the purposes of qualification and settlement then a customer specific baseline will be calculated for each billable meter.

8. DBP-DA Incentive Payment: If the actual load reduction for the hour is less than the 50% of the customer's demand bid for the hour then no incentive will be paid. Otherwise, the demand bidding incentive for the hour will be calculated by multiplying the DBP-DA incentive by the customer's Actual Demand Reduction. If the actual demand reduction exceeds 150% of the customer hourly bid then the incentive will be equal to the 150% of the customer bid multiplied by the DBP-DA incentive.

9. Actual Demand Reduction: The Actual Demand Reduction for any given operational hour equals the difference between the Customer Specific Baseline and the recorded hourly MW consumption (MWh) during a DBP event hour. If a customer chooses to aggregate billable meters for the purposes of qualification and settlement the actual demand reduction will be equal to the sum of the actual demand reductions from the billable meters.

(Continued)

SCHEDULE DBP-DA (NAVY)

DEMAND BIDDING PROGRAM, DAY AHEAD - NAVY ONLY

SPECIAL CONDITIONS (Continued)

9. Actual Demand Reduction: (Continued)

   If the use of alternative metering in accordance with special condition 15 is accepted by the utility then the actual demand reduction for any given operation hour will be equal to 85% of the difference between the Customer Specific Baseline and the recorded hourly MW consumption (MWh) during a DBP event hour. N N

10. Event Notification/Communication: The Utility will notify the customer of Demand Bid Events Acceptance or Rejection by e-mail, or other communication means specified by the Utility. Customer shall be responsible for the cost and maintenance to receive such communications and to send Demand Bids via the Internet. The Utility does not guarantee the reliability of the Internet site or e-mail system used for such communications.

11. Event Cancellation: In the case where the Utility or CAISO cancels its Alert or Warning or more advanced CAISO Notice (Stage 2 or 3 Emergency), the Utility will reject any bid that has not yet been accepted. Once a customer's Demand Bid has been accepted, the accepted bid shall not subsequently be rejected by the Utility, but payment shall continue to be based on the customer's actual performance, as measured by the Actual Demand Reduction.

12. Contract Requirement/Request For Service: Customers must complete an Enrollment Application with the Utility and must provide all required information to participate in the program. Enrollment Applications are deemed "accepted" when all required information has been provided by the customer and validated by the Utility.

13. Multiple Program Participation: A customer may not participate simultaneously in DBP-DA and any other Demand Response rate or program.

14. Termination of Schedule: This Schedule is in effect until modified or terminated through the Utility's Demand Response Programs portfolio application or similar proceeding.

15. Metering Requirement: Customer's electric meter must be an interval data recorder or smart meter with related telecommunications capability, compatible with the Utility's meter reading and telecommunications systems. If a customer meets the requirements of this tariff and does not have the correct metering equipment, the Utility will provide and install interval metering equipment and telecommunications systems at no cost to the customer.

    a. For Direct Access and CCA customers, DBP-DA compliance shall be determined from a telephone accessible electric revenue interval meter that can be read remotely by the Utility, and/or from alternative metering and telecommunications acceptable to the Utility. Direct Access and CCA customers are required to allow the Utility telecommunication access to its electric revenue meter for the purposes of determining DBP-DA compliance.

16. Failure to Reduce Energy: No financial penalties will be assessed under this Schedule for a customer's failure to comply or participate during a Demand Bidding Event.

17. Dispute Resolution: Any dispute arising from the provision of service under this schedule or other aspects of the Demand Bidding Program will be handled as provided for in the Utility's Rule 10, Disputes.

(Continued)

SCHEDULE DBP-DA (NAVY)

DEMAND BIDDING PROGRAM, DAY AHEAD - NAVY ONLY

SPECIAL CONDITIONS (Continued)

9. Actual Demand Reduction: (Continued)
If the use of alternative metering in accordance with special condition 15 is accepted by the utility then the actual demand reduction for any given operation hour will be equal to 85% of the difference between the Customer Specific Baseline and the recorded hourly MW consumption (MWh) during a DBP event hour.

10. Event Notification/Communication: The Utility will notify the customer of Demand Bid Events Acceptance or Rejection by e-mail, or other communication means specified by the Utility. Customer shall be responsible for the cost and maintenance to receive such communications and to send Demand Bids via the Internet. The Utility does not guarantee the reliability of the Internet site or e-mail system used for such communications.

11. Event Cancellation: In the case where the Utility or CAISO cancels its Alert or Warning or more advanced CAISO Notice (Stage 2 or 3 Emergency), the Utility will reject any bid that has not yet been accepted. Once a customer's Demand Bid has been accepted, the accepted bid shall not subsequently be rejected by the Utility, but payment shall continue to be based on the customer's actual performance, as measured by the Actual Demand Reduction.

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16. Failure to Reduce Energy: No financial penalties will be assessed under this Schedule for a customer's failure to comply or participate during a Demand Bidding Event.

17. Dispute Resolution: Any dispute arising from the provision of service under this schedule or other aspects of the Demand Bidding Program will be handled as provided for in the Utility's Rule 10, Disputes.

18. Opt-Out Provision: Customers participating directly with the Utility in the Demand Bidding Program may dis-enroll from the program in the calendar year 2016 in order to participate in the Demand Response Auction Mechanism ("DRAM") Pilot. Dis-enrollment becomes effective upon receipt of notification from customer, and Utility's verification that the customer is enrolled in the DRAM Pilot. N N N N

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